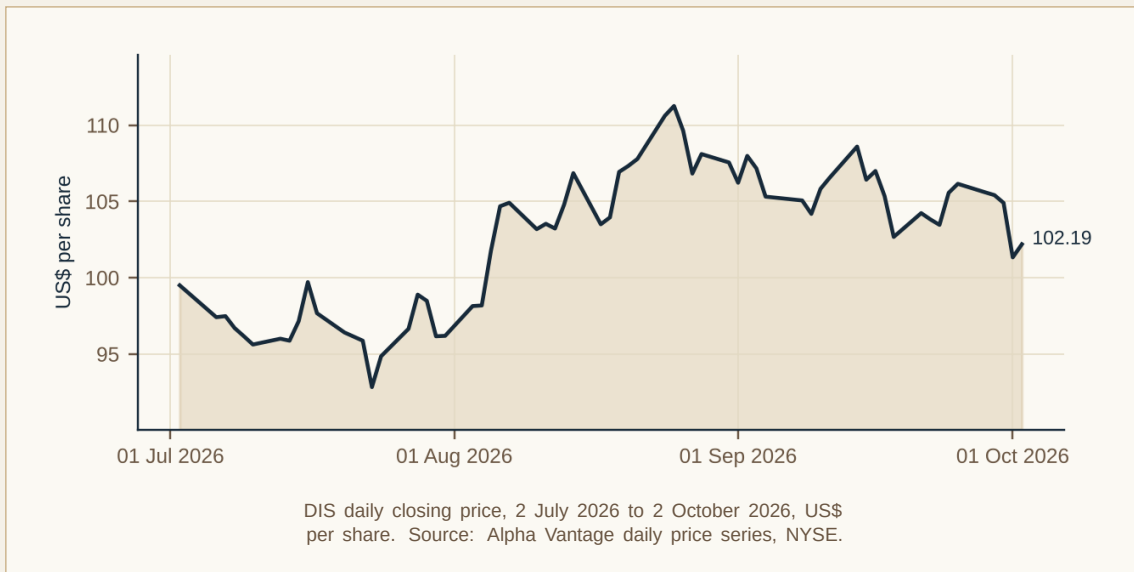


The Walt Disney Company

DIS | NYSE

US\$ 102.19 per share

Closing price, Friday 2 October 2026 (last completed trading day)



Executive Summary

The Walt Disney Company earns roughly 57 percent of its segment operating income from theme parks, cruises and consumer products, and uses that cash engine to fund a streaming and sports business that has only recently become profitable. At US\$102.19 the shares trade at 21.1 times trailing GAAP earnings and 13.8 times forward earnings, with net debt of US\$40.9bn. [SOURCED](#)

Business

Disney is a diversified entertainment company with three segments: Entertainment (streaming, linear networks, studios and licensing; US\$42.5bn FY2025 revenue), Sports (ESPN; US\$17.7bn) and Experiences (parks, resorts, Disney Cruise Line and consumer products; US\$36.2bn). Customers are households (subscriptions, tickets, merchandise), advertisers and distributors, with the United States as the largest market; geographic revenue split is Not Retrieved. [SOURCED](#)

Financial Condition

FY2025 (year ended 27 September 2025) revenue was US\$94.4bn (+3.4%), segment operating income US\$17.6bn (+12.5%), reported operating income US\$13.8bn (14.6% margin), operating cash flow US\$18.1bn and free cash flow US\$10.1bn after US\$8.0bn of capital expenditure. Trailing twelve months to June 2026 revenue is US\$98.9bn, free cash flow is US\$8.3bn, and net debt is US\$40.9bn, or about 1.9 times trailing EBITDA. [SOURCED](#) [CALCULATED](#)

VALUATION SNAPSHOT AT US\$102.19 (CLOSE OF 2 OCTOBER 2026)

Metric	Value	Basis
Market capitalization	US\$176.5bn	Calculated: 1,726.7m shares x US\$102.19
Enterprise value	US\$217.3bn	Calculated: market cap + net debt US\$40.9bn
P/E, trailing (GAAP)	21.1x	Sourced: Alpha Vantage, diluted EPS US\$4.85
P/E, forward	13.8x	Sourced: Alpha Vantage
P/E on FY2026 guided adjusted EPS	14.8x	Calculated: FY2025 adjusted EPS US\$5.93 grown 16%
EV/EBITDA, trailing	10.4x	Calculated: EBITDA US\$20.96bn
P/FCF, trailing	21.3x	Calculated: FCF US\$8.29bn
Dividend yield	1.5%	Sourced: US\$1.50 annual dividend per share

Sources: Alpha Vantage company overview and statements (data to June 2026 quarter), Disney Form 8-K for the third quarter of FY2026. Enterprise value excludes noncontrolling interests (Not Retrieved). Cross-checked against stockanalysis.com key statistics dated 4 October 2026: market cap US\$176.45bn, EV US\$217.31bn, EV/EBITDA 10.37x, P/FCF 21.28x.

Market Position

Main competitors are Netflix and Comcast (NBCUniversal and Universal parks) across streaming, studios and parks, together with Warner Bros. Discovery, Paramount Skydance, Fox and YouTube. The principal advantage is an owned-intellectual-property flywheel that feeds parks, merchandise and streaming at once; the principal weakness is dependence on declining linear television and on rising sports rights costs, visible in the 17% fall in Sports operating income in the June 2026 quarter.

REASONED

Investment Framework

WHAT IS ATTRACTIVE	Experiences operating income of US\$10.0bn in FY2025 with a US\$9bn annual capital programme; streaming operating income rising from US\$143m (FY2024) to US\$1,327m (FY2025); US\$9bn or more of FY2026 buybacks, about 5 percent of market capitalization.
WHAT IS CONCERNING	Free cash flow fell to US\$5.7bn in the nine months to June 2026 from US\$7.5bn a year earlier as capital expenditure rose; Sports margin pressure; goodwill and intangibles equal 75% of equity; the shares are down 9.3% year to date against a 12.4% gain for the benchmark.
WHAT MUST GO RIGHT	Direct-to-consumer margins must reach double digits, parks per-capita spending must keep growing while new cruise ships and park expansions fill, and the new chief executive must hold segment operating income growth near the guided double-digit rate.
WHAT COULD BREAK THE THESIS	A consumer downturn that cuts park attendance, an accelerated decline in linear networks, sports rights inflation outpacing ESPN pricing, or capital spending that earns below its cost of capital.
PRICED IN	At US\$102.19 the market capitalizes free cash flow growth of about 9 percent a year for five years at a 9 percent discount rate, which is close to management's own earnings guidance and leaves little margin for a miss.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	Good. Parks earn a 27.6% segment margin on US\$36.2bn of revenue and rest on irreplaceable intellectual property.
Financial quality	Good and improving. Free cash flow of US\$10.1bn in FY2025, but net income was lifted by one-off items.
Competitive position	Moderate to strong moat in parks and franchises; weaker in linear television and sports economics.
Growth profile	Moderate. Revenue growth of 3 to 7 percent, earnings growth guided at double digits.
Balance-sheet risk	Low to moderate. Net debt is 1.9 times EBITDA and interest cover is 9 times operating income.
Valuation	Fair. Close to the middle of the discounted cash flow range; below peers on forward earnings.
Market and technical profile	Neutral to weak. Below the 20-day and 50-day averages, RSI 42, persistent underperformance against the benchmark.

A. About the Business

A1. Business Environment

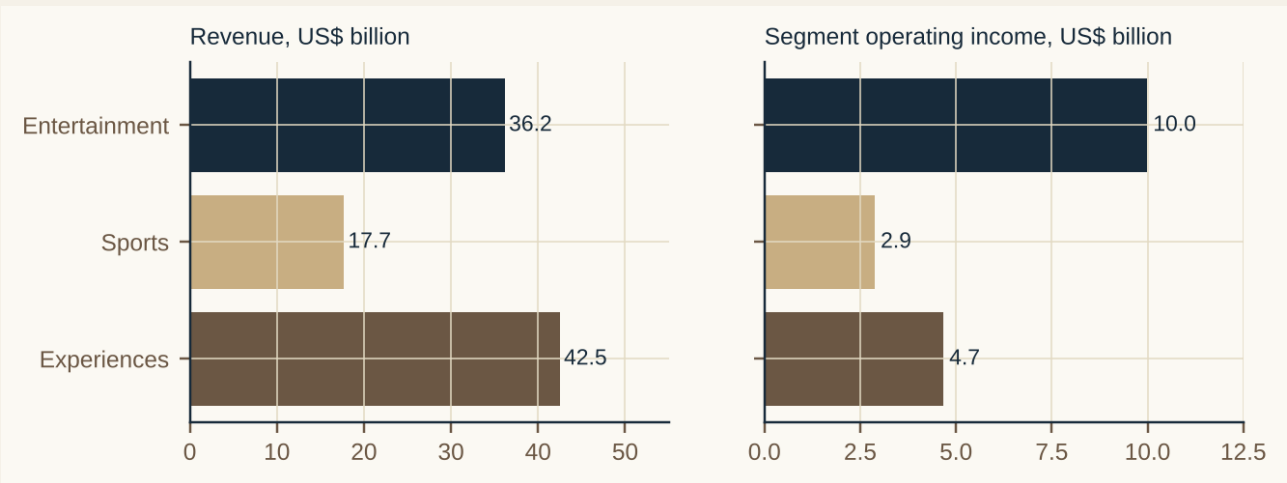
Disney operates in global media and entertainment, an industry that converts creative content into revenue through four channels: subscriptions (streaming and pay television), advertising, physical experiences (parks, cruises, live events) and licensing (merchandise, content sales). The value chain runs from content creation (studios, writers, sports rights), through packaging and distribution (streaming platforms, television networks, theatrical release, retail), to the consumer. Value is captured at two points: ownership of scarce intellectual property, which sets pricing power across every downstream channel, and ownership of the distribution relationship with the consumer. REASONED

Industry economics differ sharply by channel. Streaming and studios are content-cost heavy: Disney plans about US\$24bn of content spending in fiscal 2026 and relies on scale to spread it. Parks and cruises are capital intensive, with Disney guiding to roughly US\$9bn of capital expenditure in fiscal 2026 against US\$5.4bn in FY2024, but they earn the highest margins and are difficult to replicate. Linear television carries high margins that are shrinking as households cancel pay-television bundles: Disney’s Linear Networks revenue fell 12% in FY2025 to US\$9.4bn and its operating income fell 14% to US\$3.0bn. The business is cyclical in advertising and in discretionary travel spending, lightly regulated compared with utilities, and heavily dependent on technology for streaming delivery and advertising targeting. SOURCED (Disney FY2025 results release; Disney third-quarter FY2026 call)

INDUSTRY STAGE: STRUCTURALLY TRANSFORMING

Traditional television is declining, streaming is consolidating around a few scaled platforms and has only recently reached sustained profitability, while experiences and franchise licensing are mature but still growing. The classification rests on three observations: linear revenue is falling by double digits at Disney, Disney’s own streaming operating margin moved from about 0.6 percent (US\$143m on US\$22.8bn) in FY2024 to 5.4 percent (US\$1,327m on US\$24.6bn) in FY2025 and reached 12.9 percent in the June 2026 quarter, and Experiences revenue grew 6 to 10 percent. REASONED CALCULATED

FY2025 revenue and segment operating income by segment



Source: Disney fourth quarter and full year FY2025 earnings release. Units: US\$ billion. Fiscal year ended 27 September 2025.

A2. What Does the Company Do?

Think of Disney as one set of characters and stories sold in several ways. A film or series created by the Entertainment segment becomes a streaming title on Disney+ or Hulu, a licensed or syndicated programme, a toy on a retail shelf, a ride at a park and a costume on a cruise ship. The same intellectual property earns revenue many times, with the content cost incurred once. Entertainment (US\$42.5bn FY2025 revenue) contains three businesses: Direct-to-Consumer (Disney+, Hulu and related services, US\$24.6bn), Linear Networks (ABC and cable channels, US\$9.4bn) and Content Sales, Licensing and Other (theatrical, home entertainment, licensing, US\$8.5bn). Sports (US\$17.7bn) is ESPN's linear networks, ESPN's direct-to-consumer service and sports-rights licensing; income comes from affiliate fees and advertising offset by very large rights payments. Experiences (US\$36.2bn) comprises Domestic parks and experiences (US\$23.4bn, derived as segment total less International and Consumer Products; includes Walt Disney World, Disneyland Resort, Disney Cruise Line), International parks and experiences (US\$8.0bn, Disneyland Paris, Hong Kong, Shanghai and Tokyo royalties) and Consumer Products (US\$4.7bn, licensing and retail). [SOURCED](#)

Pricing is by subscription tier for streaming, by affiliate fee per subscriber and advertising rate for television, and by ticket, hotel room, cruise fare and per-capita spend for experiences. Roughly all of Entertainment's direct-to-consumer revenue is recurring subscription and advertising, while theatrical, licensing and park attendance are repeating but non-contractual. In the June 2026 quarter global park guest numbers rose 4% and domestic per-capita spending rose 4%. Major costs are programming and production, labor (about 231,000 employees at fiscal year end 2025), sports rights, and depreciation of a US\$44.6bn property base. Capital requirements are high: FY2025 capital expenditure was US\$8.0bn, or 8.5% of revenue. [SOURCED](#) [CALCULATED](#)

How one dollar of revenue is used, FY2025

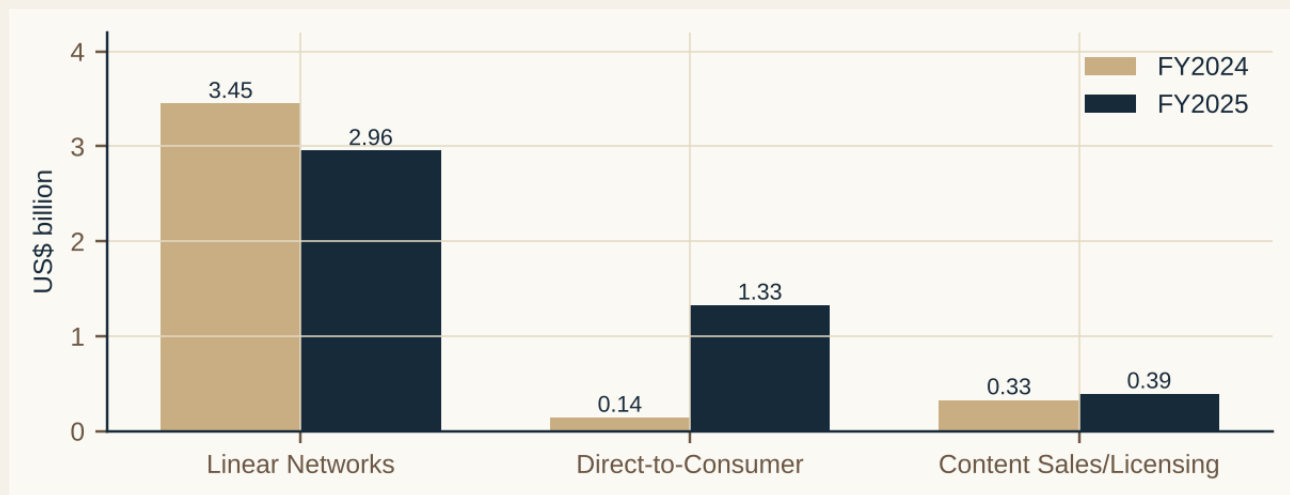
Of each US\$1.00 of FY2025 revenue, 62.2 cents went to cost of revenue (programming, production, park operations), 17.5 cents to selling, general and administrative expense, 5.6 cents to depreciation and amortization, leaving 14.6 cents of reported operating income. After interest, tax and working capital, 10.7 cents became free cash flow. [CALCULATED](#) (Alpha Vantage statements derived from Disney filings)

1. CUSTOMER Households, advertisers, pay-television distributors, park and cruise guests, licensees	2. PRODUCT AND SERVICE Disney+, Hulu, ESPN, ABC, films, parks, cruises, merchandise	3. REVENUE US\$94.4bn: Entertainment 44%, Experiences 38%, Sports 18% before eliminations
4. COSTS 62.2 cents cost of revenue, 17.5 cents SG&A, 5.6 cents D&A per dollar	5. OPERATING PROFIT 14.6 cents per dollar reported; segment operating income US\$17.6bn	6. CASH FLOW Operating cash flow US\$18.1bn less capex US\$8.0bn = free cash flow US\$10.1bn
		7. CAPITAL ALLOCATION Dividends US\$1.8bn, buybacks US\$3.5bn, debt reduction, park and cruise growth capex

Segment shares are calculated on the sum of segment revenues (US\$96.3bn) before intersegment eliminations. Source: Disney FY2025 earnings release; Alpha Vantage statements.

The economically most important part of the model is Experiences: it generated 57 percent of FY2025 segment operating income (US\$10.0bn of US\$17.6bn) from 38 percent of segment revenue, and absorbs most of the capital programme. Streaming is the swing factor for growth, and Sports and Linear Networks are cash generators under pressure. [CALCULATED](#)

Entertainment segment operating income by business



Source: Disney fourth quarter and full year FY2025 earnings release. Units: US\$ billion. FY2024 and FY2025.

A3. Business and Relationship Network

Disney's ecosystem is a hub in which owned content, owned distribution and owned physical assets reinforce each other. The table identifies the relationships that matter economically; named counterparties are those disclosed in the FY2025 annual report and the third-quarter FY2026 materials. Customer and supplier concentration percentages are Not Retrieved. [SOURCED](#)

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Walt Disney Company	Parent; segments Entertainment, Sports, Experiences	Cash engine in Experiences funds content and capital programmes
Streaming brands	Disney+, Hulu (fully owned), ESPN direct-to-consumer	Recurring revenue; operating margin reached 12.9% in June 2026 quarter
Hulu Live TV and Fubo	Hulu Live TV assets combined with Fubo on 29 October 2025; Disney holds 70%	Keeps a pay-television bundle alive inside the streaming ecosystem
NFL and NFL Network	Disney acquires NFL Network in exchange for a 10% noncontrolling interest in ESPN	Secures premium live-sports rights and deepens league partnership
Sports leagues	NBA, NFL, college football and others license rights to ESPN	Largest supplier cost in Sports; NBA rate increases cut Sports operating income 17% in the June 2026 quarter
Pay-TV distributors	Cable, satellite and virtual distributors pay affiliate fees	Declining but high-margin revenue; renewal terms drive Linear Networks income
Content creators and studios	Walt Disney Studios, Pixar, Marvel, Lucasfilm, 20th Century	Franchise intellectual property drives every channel; box office results are volatile
Technology partners	TikTok creator agreement; advertising technology; streaming infrastructure providers	Reach younger audiences and improve advertising yield
A+E Networks	Stake in joint venture being sold, expected proceeds US\$1.2bn	Funds part of the buyback; removes a declining linear asset
Experiences footprint	Walt Disney World, Disneyland, Paris, Hong Kong, Shanghai (minority-owned), Tokyo (licensed), Disney Cruise Line	Highest-margin assets; cruise capacity up 50% with Destiny and Adventure

Source: Disney Form 10-K FY2025; Disney Form 8-K and earnings call for the third quarter of FY2026 (call date 5 August 2026). Segment descriptions are the company's.

A4. Competition

Competitors are chosen on who competes with Disney for the same subscriber hours, advertising dollars, vacation spending and content talent, not on industry classification. Direct competitors are Netflix (global streaming scale and profitability benchmark, no parks), Comcast (NBCUniversal studios, Peacock and Universal theme parks, plus a broadband business that Disney lacks), Warner Bros. Discovery and Paramount Skydance (studios, streaming and cable networks), and Fox (sports and news broadcasting). Indirect competitors for time and attention include YouTube and short-form video. Substitutes for parks include other vacation spending, especially cruise lines and Universal's newer parks; substitutes for pay television are free and ad-supported streaming. Emerging competitors include technology platforms that fund sports and original content. Geographic competition is meaningful in China, where domestic entertainment parks compete with Shanghai and Hong Kong, consistent with management's comment on weaker Asian demand. **REASONED**

COMPETITIVE COMPARISON, US\$ (LATEST TRAILING TWELVE MONTHS TO JUNE 2026)

Company	Revenue	Market cap	EV/EBITDA	P/E trailing	P/E forward
Walt Disney	98.9bn	176.5bn	10.4x	21.1x	13.8x
Netflix	48.4bn	279.2bn	20.5x	21.1x	18.7x
Comcast	124.9bn	76.5bn	4.8x	6.9x	5.9x

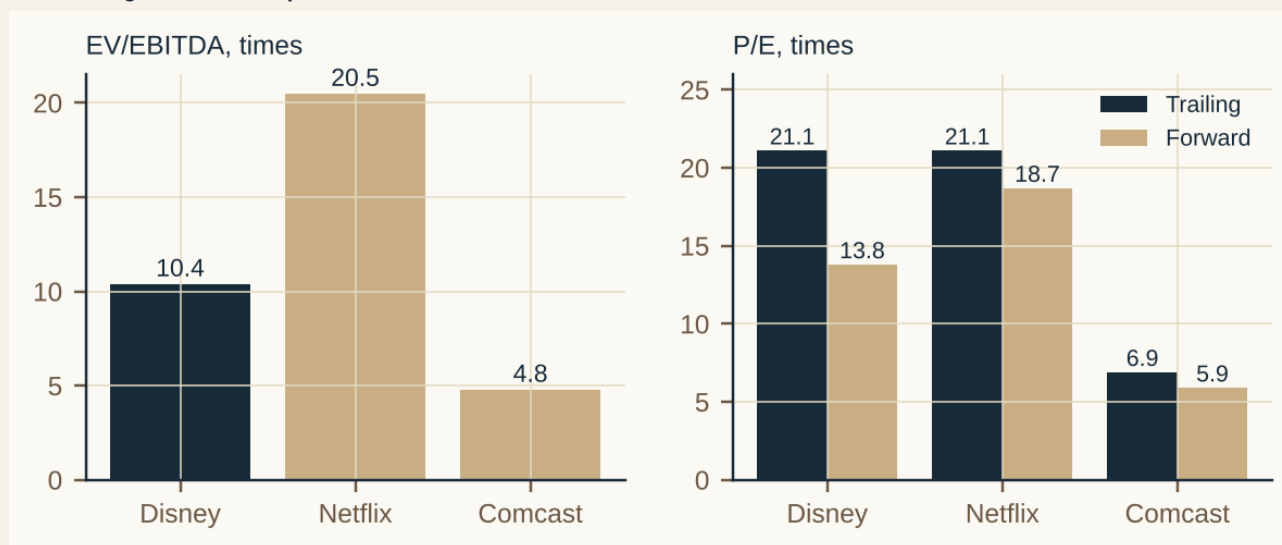
Source: Alpha Vantage company overview, data for the June 2026 quarter. EV/EBITDA is calculated as the provider's EV/revenue multiple times revenue divided by EBITDA, because the provider's printed EV/EBITDA for Netflix (8.6x) is inconsistent with its own revenue, market capitalization and EBITDA. Warner Bros. Discovery, Paramount Skydance, Fox and Alphabet: Not Retrieved.

COMPETITOR PROFILES

Company	Model and customer	Advantage	Disadvantage versus Disney
Netflix	Global subscription and advertising streaming; households in more than 190 countries	Pure-play scale, 28% net margin, 33% operating margin (provider)	No parks, little live sports, no owned franchise licensing engine
Comcast	Broadband, NBCUniversal media, Universal parks; US households and advertisers	Owns broadband relationship and a competing theme park business	Lower growth, revenue fell 1.2% year on year in the latest quarter, heavier legacy cable exposure
Warner Bros. Discovery and Paramount Skydance	Studios, cable networks and streaming; households and advertisers	Large content libraries and sports and news assets	Smaller scale in streaming, no comparable parks or cruise engine
Fox	Broadcast, sports and news; advertisers and distributors	Live-event advertising strength	Narrower product set, no direct-to-consumer scale or parks

Source: Alpha Vantage company overviews for Netflix and Comcast (June 2026 quarter); other rows are analyst description (Reasoned).

Valuation against selected peers



Source: Alpha Vantage company overviews, data to June 2026 quarter; EV/EBITDA calculated. Units: times earnings and times EBITDA.

Relative to Netflix, Disney trades at roughly half the EBITDA multiple while earning a lower operating margin and growing revenue more slowly (6.8% year on year in the June 2026 quarter against 13.4% for Netflix); the discount reflects Disney's declining linear base, its capital intensity and its exposure to sports rights. Relative to Comcast, Disney trades at a premium, reflecting higher growth and a stronger asset mix. CALCULATED REASONED

A5. Competitive Differences

Disney's structural advantages are intellectual property, vertical integration across channels, and physical assets that cannot be copied. A franchise such as Marvel or Frozen is monetised in film, streaming, consumer products and attractions, which lowers the effective cost of each new audience. Experiences held a segment operating margin of 27.6% in FY2025 (US\$9,995m on US\$36,156m), and the consumer products business earned a 47.3 percent margin (US\$2,226m on US\$4,704m), figures that few competitors approach. Scale in streaming, with direct-to-consumer revenue of US\$24.6bn, supports bundling with Hulu and ESPN. Capital access is another advantage: Disney funds a US\$9bn capital programme from internal cash flow while still repurchasing stock. CALCULATED

Temporary advantages are the current momentum in streaming pricing and the strong 2025 and 2026 film and sports ratings; these can reverse with a weak slate, as the June 2026 comment that two releases underperformed shows. Disadvantages are a high cost base (cost of revenue is 62 percent of revenue), exposure to sports rights inflation, dependence on discretionary consumer spending, lower streaming scale than Netflix in international markets, and a large intangible base: goodwill of US\$73.3bn and other intangibles of US\$9.3bn equal 75 percent of shareholder equity. Pricing power is strong in parks and moderate in streaming; it is weak in Sports where costs rise faster than prices. REASONED

MOAT ASSESSMENT: STRONG OVERALL, VERY STRONG IN EXPERIENCES AND FRANCHISES

The Experiences moat is structural: irreplaceable intellectual property, land and installed attractions, and a brand that supports pricing. The streaming moat is moderate and depends on content scale and bundling. The linear and sports moat is weakening. A blended assessment of Strong reflects the fact that 57 percent of segment income sits in the most defensible business. REASONED

A6. Industry Trend

Historic growth in global media has been driven by the shift from linear to digital distribution. Disney revenue grew from US\$67.4bn in FY2021 to US\$94.4bn in FY2025, a compound annual growth rate of 8.8%, but almost 60 percent of that rise came in FY2022, when parks reopened after the pandemic; growth since has ranged from 2.8 to 7.5 percent a year. In the nine months to June 2026 revenue grew 6% to US\$76.4bn. Current demand drivers are streaming price increases, advertising tiers, strong live sports viewership (the NBA finals reached the highest audience in 28 years according to management) and robust domestic park demand. Supply-side drivers include cruise capacity additions and park expansions. Pricing is rising in streaming and parks. SOURCED CALCULATED

The classification is structurally transforming and consolidating. Structural trends are the secular decline of linear television, the migration of sports to streaming and the consolidation of studios and platforms; cyclical conditions are advertising demand, consumer confidence and travel spending. What could reverse the trend: a consumer recession that cuts discretionary travel, a streaming price war, regulatory or antitrust action on bundles, or a failure of sports streaming to replace lost cable revenue.

REASONED

A7. Management

EXECUTIVE TEAM

Name	Position	Background and tenure
Josh D'Amaro	Chief Executive Officer	28-year Disney veteran, previously Chairman of Disney Experiences; became CEO on 18 March 2026, aged 54 at announcement
Dana Walden	President and Chief Creative Officer	Newly created role from 18 March 2026; previously co-chair of the entertainment business
Hugh Johnston	Chief Financial Officer	Joined in 2023 from PepsiCo; contract extended through 31 January 2029
Robert Iger	Senior Advisor and board member	Former CEO (2005 to 2020 and from 2022); retires from the company on 31 December 2026

Source: Disney Form 8-K dated 3 February 2026; Fortune, 19 March 2026. Ownership by individual executives: Not Retrieved. Aggregate insider ownership is shown as 0.06 percent and institutional ownership as 78.5 percent by Alpha Vantage.

The succession is a continuity decision: the new chief executive built the highest-margin segment, which produced more than 70 percent of operating income according to press reporting, and the CFO's term was extended before the announcement. Evaluating behavior against shareholder interest: capital allocation has moved from deleveraging toward returns. Borrowings and leases fell from US\$58.3bn in FY2021 to US\$45.4bn in FY2025, the dividend was reinstated and raised to US\$1.50 a year, and repurchases were doubled from US\$3.5bn in FY2025 to a target of at least US\$9bn in FY2026, with US\$7.2bn already completed in nine months. Share count fell from about 1,831 million at the end of FY2024 to 1,727 million by June 2026. Guidance accuracy has been good: FY2025 adjusted earnings per share grew 19 percent to US\$5.93 against guidance of double-digit growth, and FY2026 guidance of 12 percent growth (excluding a 53rd week) has been repeated through the third quarter. The risk to alignment is capital intensity: capital expenditure rose from US\$5.4bn in FY2024 to US\$8.0bn in FY2025 and is guided to US\$9bn, and the returns on these investments will determine whether growth capex creates value. Stock-based compensation of US\$1.4bn a year (1.4 percent of revenue) is moderate. SOURCED CALCULATED REASONED

B. Evaluation

B1. Financial and Operating Metrics

Disney reports under US GAAP with a fiscal year ending on the Saturday closest to 30 September (FY2025 ended 27 September 2025; statements below are labelled with the provider's 30 September convention). Management also reports segment operating income and adjusted earnings per share, which exclude acquisition amortization, restructuring and certain gains and charges; this report uses reported (GAAP) figures from the statements for ratios and shows adjusted figures only where labelled. [SOURCED](#)

PROFITABILITY, GROWTH AND RETURNS, FISCAL YEARS (PERCENT UNLESS STATED)

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Revenue growth	22.7	7.5	2.8	3.4	3.4
Gross margin	33.1	34.2	33.4	35.8	37.8
Operating margin	5.4	8.2	10.1	13.0	14.6
EBITDA margin (operating income + D&A)	13.0	14.4	16.2	18.5	20.3
Net margin	3.0	3.8	2.6	5.4	13.1
ROE (net income / average equity)	2.1	3.4	2.4	5.0	11.8
ROIC (NOPAT at 21% tax / invested capital)	2.2	3.9	5.2	6.5	7.3

Source: Alpha Vantage statements derived from Disney Form 10-K filings; calculated by the analyst. Invested capital is borrowings and leases plus shareholders' equity less cash. NOPAT assumes a notional 21% tax rate because FY2025 reported tax was a net benefit. FY2025 net margin and ROE are inflated by non-recurring gains and a tax benefit and should not be treated as run-rate. Gross profit is as defined by the data provider (revenue less cost of revenue before SG&A and D&A).

Operating margin has expanded 9.2 percentage points in four years, from 5.4 percent to 14.6 percent, and the mix explains it: the loss-making streaming business moved to profit and parks absorbed price increases. ROE of 11.8 percent in FY2025 compares with 5.0 percent in FY2024, but the jump is mostly a tax benefit (a tax credit of US\$1.4bn on US\$12.0bn pre-tax income) and below-the-line gains; ROIC of 7.3 percent, which excludes those items, is probably the better indicator and is close to an estimated cost of capital of 9 percent, meaning the business is not yet earning an excess return on its large acquired asset base (goodwill of US\$73bn from the Fox and Pixar-Marvel-Lucasfilm acquisitions). [CALCULATED](#) [REASONED](#)

GROWTH, EFFICIENCY, LEVERAGE AND CASH FLOW

Metric	FY2021	FY2022	FY2023	FY2024	FY2025
Asset turnover (x)	0.33	0.41	0.43	0.45	0.48
Current ratio (x)	1.08	1.00	1.05	0.73	0.71
Net debt / EBITDA (x)	4.8	3.4	2.5	2.6	2.1
Debt / equity (x)	0.66	0.55	0.51	0.49	0.41
Interest coverage (operating income / interest, x)	2.4	4.4	6.2	8.2	7.6
Free cash flow margin	3.0	1.3	5.5	9.4	10.7
Operating cash flow / net income (x)	2.8	1.9	4.2	2.8	1.5
Capital expenditure / revenue	5.3	6.0	5.6	5.9	8.5

Source: Alpha Vantage statements; calculated. Net debt is borrowings plus lease liabilities less cash. EBITDA is operating income plus depreciation and amortization. Inventory turnover is omitted because inventory (US\$2.1bn) is mostly park merchandise and food and is not a driver of the business. Receivables turnover in FY2025 was 7.1 times (about 51 days).

Growth over the four years to FY2025: revenue compound annual growth of 8.8%; EBITDA (operating income plus D&A) compound growth of 21.6%, from US\$8.8bn to US\$19.2bn; free cash flow growth from US\$2.0bn to US\$10.1bn, a rise of a factor of five that reflects a very low base. EPS compound growth is Not Retrieved on a comparable basis because GAAP EPS was distorted by impairments in FY2020 to FY2023 and by gains in FY2025; management's adjusted EPS grew 19 percent in FY2025 to US\$5.93. Organic growth excluding acquisitions is Not Retrieved. CALCULATED

Compared with Netflix and Comcast on the provider's trailing basis: Disney's operating margin is 19.3 percent, Netflix 33.4 percent and Comcast 17.2 percent; return on equity is 8.0 percent, 49.5 percent and 11.5 percent respectively. Disney's returns are middling because it carries US\$73bn of goodwill and a large, still-expanding physical asset base, whereas Netflix is an asset-light platform. Industry averages are Not Retrieved. SOURCED (Alpha Vantage). Disney's trailing operating margin calculated from the latest four quarters is 16.0 percent (US\$15.8bn on US\$98.9bn); the provider's higher figure appears to reflect a different operating income definition. CALCULATED

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Consumer downturn hits parks	Medium	High	Experiences produces 57% of segment income; a recession cuts attendance and per-capita spend while fixed costs stay
2	Linear decline and sports rights inflation	High	Medium	Linear Networks revenue fell 12% in FY2025; Sports operating income fell 17% in the June 2026 quarter on NBA costs
3	Capital intensity and returns	Medium	High	Capex rose from US\$5.4bn to US\$8.0bn (FY2024 to FY2025) and is guided to about US\$9bn; ROIC is 7.3% against about 9% cost of capital
4	Content and box office volatility	Medium	Medium	Management cited underperformance of two recent releases; franchise fatigue reduces licensing and streaming pull
5	Streaming competition and pricing	Medium	Medium	Netflix scale and technology platforms compete for hours; churn limits price increases
6	Valuation and sentiment	Medium	Medium	Shares have lagged the benchmark by 21.7 percentage points year to date; a guidance miss would compress the 13.8x forward multiple
7	Leadership transition	Low to medium	Medium	First change of chief executive since 2022; strategy and execution risk during the handover period
8	Regulation and geopolitics	Low	Medium	Antitrust scrutiny of bundles and sports rights, China exposure (weaker Asia demand noted by management), tariffs on merchandise
9	Financial: refinancing and rates	Low	Low	Net debt US\$40.9bn at 1.9x EBITDA; interest coverage 9.2x on trailing operating income; the 10-year Treasury yield averaged 4.99% in September 2026
10	Technology and AI disruption	Low to medium	Medium	Generative tools lower content production costs for competitors and raise intellectual property protection costs

Source: analyst assessment (Reasoned) built on Disney FY2025 results release, third-quarter FY2026 8-K and call; Alpha Vantage statements and Treasury yield series. Interest coverage and net debt are calculated.

The three risks most capable of permanently impairing shareholder value are, first, a prolonged consumer downturn combined with the new capacity that Disney is adding in parks and cruises, because it would turn fixed costs into margin compression in the most profitable segment; second, the capital allocated to growth capex failing to earn its cost of capital, because the asset base is already large relative to earnings; and third, an accelerated loss of linear income without matching streaming and ESPN direct-to-consumer profit growth, because the fixed rights and content costs of Sports and Entertainment do not shrink with revenue. **REASONED**

B3. Valuation

At US\$102.19 Disney has a market capitalization of US\$176.5bn (1,726.7 million shares) and an enterprise value of US\$217.3bn including net debt of US\$40.9bn; noncontrolling interests, which would add to enterprise value, are Not Retrieved. **CALCULATED**

SOURCED

CURRENT VALUATION MULTIPLES

Multiple	Value	Numerator and denominator
P/E, trailing GAAP	21.1x	Price / diluted EPS US\$4.85 (twelve months to June 2026)
P/E, forward	13.8x	Provider forward estimate; consistent with adjusted EPS
P/E, FY2026 guided adjusted	14.8x	US\$102.19 / (US\$5.93 x 1.16 = US\$6.88)
EV/EBITDA	10.4x	EV US\$217.3bn / EBITDA US\$20.96bn
EV/EBIT	13.7x	EV / trailing operating income US\$15.8bn
P/S	1.8x	Market cap / revenue US\$98.9bn
P/FCF	21.3x	Market cap / FCF US\$8.29bn
EV/FCF	26.2x	EV / FCF US\$8.29bn
PEG	3.4x	Provider figure; not meaningful given distorted trailing earnings
Dividend yield	1.5%	US\$1.50 / US\$102.19
Buyback yield	about 5%	FY2026 buyback target of US\$9bn / market cap

Source: Alpha Vantage; Disney third-quarter FY2026 Form 8-K; calculated. Trailing free cash flow is the sum of the last four quarters: operating cash flow US\$16.99bn less capital expenditure US\$8.70bn.

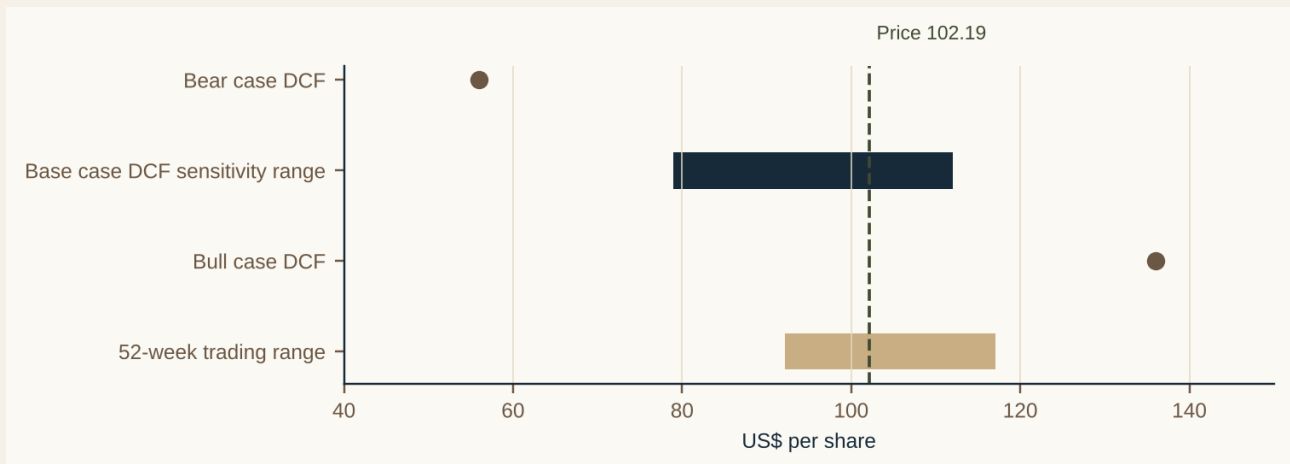
HISTORICAL VALUATION AT FISCAL YEAR END (CALCULATED)

Fiscal year end	Share price	P/E GAAP	P/S	EV/EBITDA
September 2021	US\$176.00	161.3x	4.8x	41.5x
September 2022	US\$94.33	54.8x	2.1x	17.8x
September 2023	US\$81.05	63.0x	1.7x	12.9x
September 2024	US\$96.01	35.4x	1.9x	13.0x
September 2025	US\$113.47	16.6x	2.2x	12.8x
October 2026 (current)	US\$102.19	21.1x	1.8x	10.4x

Source: Alpha Vantage weekly closing prices and statements; calculated using year-end shares outstanding and net debt including leases. GAAP earnings were depressed or inflated by impairments and one-off gains, so P/E history is unreliable; EV/EBITDA and P/S give a cleaner trend. The September 2021 figures use depressed pandemic-era earnings.

On enterprise value to EBITDA, Disney now trades at 10.4 times, below the 12.8 to 13.0 times it carried at the last three fiscal year ends and well below the pandemic-era peak, even though EBITDA has more than doubled since FY2021. On price to sales it is at 1.8 times, near the low end of the 1.7 to 4.8 times range. Relative to peers, Disney is cheaper than Netflix (20.5 times EBITDA) and more expensive than Comcast (4.8 times). CALCULATED

Valuation range, US\$ per share



Source: analyst DCF scenarios (section C5) and Alpha Vantage price series. Units: US\$ per share. DCF values exclude noncontrolling interests.

The discounted cash flow in section C5 gives a base-case value of about US\$95 and a sensitivity range of US\$79 to US\$112 for plausible discount rates and terminal growth. Solving backwards, the current price requires free cash flow to the firm to grow about 9.1 percent a year for five years from an estimated US\$10.2bn in FY2026 (to roughly US\$15.7bn by FY2031), with a 9 percent discount rate and 2.5 percent terminal growth. That is consistent with management's guidance of double-digit adjusted EPS growth in FY2026 and FY2027 plus capital intensity easing after the current investment cycle. Assessment of expectations: Reasonable to slightly optimistic. The expectation is not demanding on revenue (4 to 6 percent growth is enough) but requires capital expenditure to peak and streaming and parks margins to keep rising. CALCULATED REASONED

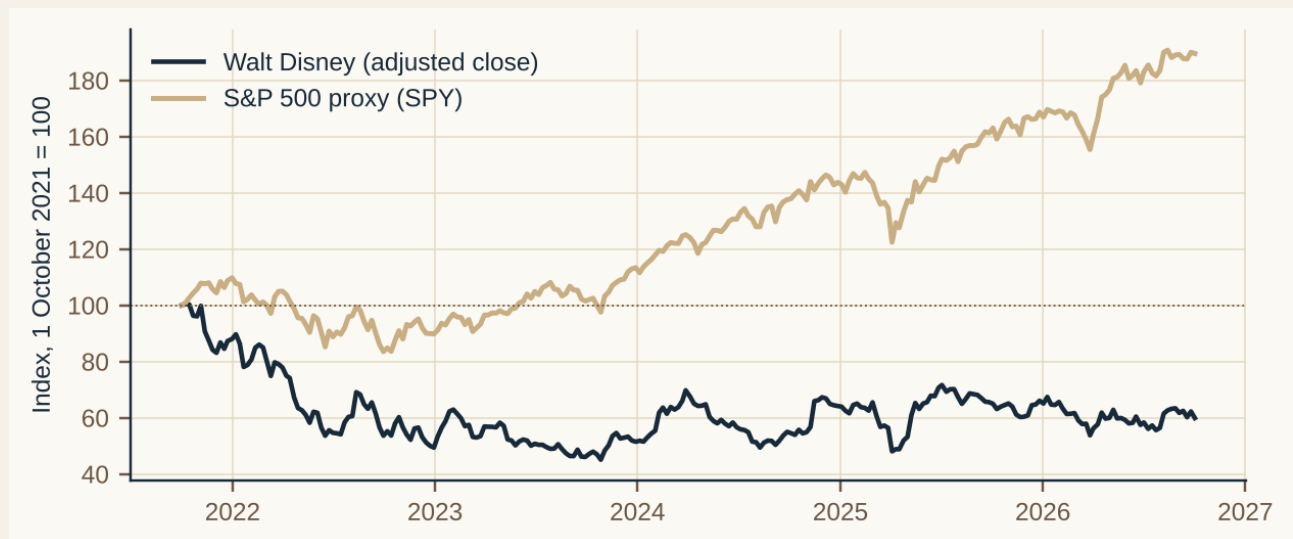
B4. Capital Market and Stock Analysis

PRICE PERFORMANCE AGAINST THE S&P 500 PROXY (SPY), TOTAL RETURN, TO 2 OCTOBER 2026

Period	Disney	Benchmark	Relative
1 day (2 October)	0.8%	Not Retrieved	Not Retrieved
1 week	-3.7%	-0.2%	-3.5 pts
1 month	-5.5%	0.3%	-5.8 pts
3 months	2.7%	3.6%	-0.9 pts
6 months	6.6%	17.9%	-11.3 pts
Year to date	-9.3%	12.4%	-21.7 pts
1 year	-8.6%	17.5%	-26.1 pts
3 years	30.1%	86.7%	-56.6 pts
5 years	-40.1%	89.5%	-129.6 pts
10 years	19.5%	316.9%	-297.4 pts

Source: Alpha Vantage weekly adjusted closing prices (dividends included) for DIS and SPY; calculated from the last weekly close on or before each start date. The 1-day figure uses the daily close of US\$102.19 against US\$101.33. The S&P 500 proxy is the SPDR S&P 500 ETF Trust. Sector benchmark: Not Retrieved.

Disney against the S&P 500 proxy, five years



Source: Alpha Vantage weekly adjusted closing prices, 1 October 2021 to 2 October 2026. Units: index, start = 100. Total return including dividends.

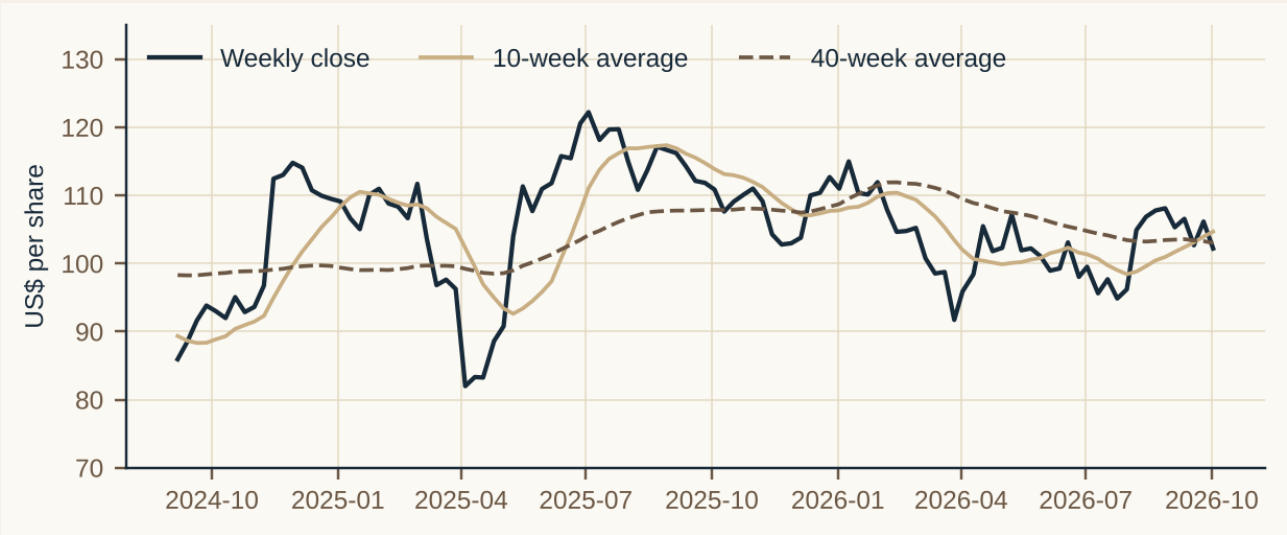
The price record is weak relative to the market over every period beyond three months. The decline from the 2021 peak, around US\$176 at the fiscal year end, to a low in autumn 2023 produced a maximum drawdown of 55.1 percent over the last five years (trough on 27 October 2023); the three-year drawdown is 31.1 percent and the one-year drawdown is 20.2 percent. Recovery since has been partial: the shares are 9.3 percent lower this year. CALCULATED

VOLATILITY AND RISK (WEEKLY RETURNS, CALCULATED)

Measure	1 year	3 years	5 years
Annualized volatility	23.5%	27.3%	29.1%
Downside volatility (annualized)	11.8%	17.2%	18.5%
Beta versus S&P 500 proxy	1.20	0.99	1.10
Correlation with benchmark	0.62	0.52	0.61
Maximum drawdown	-20.2%	-31.1%	-55.1%

Source: Alpha Vantage weekly adjusted prices; calculated from log returns annualized by the square root of 52. The data provider's published five-year beta is 1.41 (stockanalysis.com: 1.42); the difference arises from the return interval and benchmark. Daily volatility over the last three months is 25.5 percent annualized.

Disney weekly close with 10-week and 40-week averages



Source: Alpha Vantage weekly adjusted closing prices, September 2024 to 2 October 2026. Units: US\$ per share.

TECHNICAL INDICATORS AT 2 OCTOBER 2026

Indicator	Value	Reading
Close	US\$102.19	Below 20-day (US\$104.98) and 50-day (US\$104.30) averages
200-day average	US\$103.85	Price 1.6% below; provider figure
RSI (14-day)	42.3	Neutral to mildly weak
MACD (12, 26, 9)	-0.46 vs signal -0.01	Negative, momentum fading
ATR (14-day)	US\$2.08	2.0% of price: typical daily range
Average volume, 20 days	8.7m shares	Below the 100-day average of 9.7m
52-week range	US\$92.19 to US\$117.09	Price at 40% of range (weekly high and low)
Support and resistance	US\$92.83 and US\$111.25	Closing low of 23 July and closing high of 25 August

Source: Alpha Vantage daily series for the 100 trading days to 2 October 2026 (RSI, MACD, ATR and short averages calculated by the analyst); 200-day average from the provider's company overview. The provider's intraday 52-week range is US\$91.49 to US\$115.42; the weekly series used here gives US\$92.19 to US\$117.09, a difference of intraday versus weekly measurement.

The technical structure is that of a range-bound stock in a mild pullback. The shares rallied from the 23 July low of US\$92.83 to US\$111.25 on 25 August after the 5 August quarterly results (volume of 20.8 million shares that day), then gave back about 8 percent, closing below both the 20-day and 50-day averages with a negative MACD. Volume has been below average, which implies no forced selling. This describes sentiment and momentum and says nothing about the value of the business; the fundamental valuation in section B3 should be weighed independently. CALCULATED REASONED

C. Financial Statements

C1. Income Statement

INCOME STATEMENT SUMMARY, US\$ BILLION (REPORTED UNLESS MARKED DERIVED)

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun 2026
Revenue	67.4	82.7	88.9	91.4	94.4	98.9
Gross profit (derived)	22.3	28.3	29.7	32.7	35.7	37.2
SG&A	13.5	16.4	15.3	15.8	16.5	Not Retrieved
Depreciation and amortization	5.1	5.2	5.4	5.0	5.3	Not Retrieved
Operating income	3.7	6.8	9.0	11.9	13.8	15.8
EBITDA (derived: operating income + D&A)	8.8	11.9	14.4	16.9	19.2	21.0
Interest expense	1.5	1.5	1.5	1.4	1.8	1.7
Pre-tax income	2.6	5.3	4.8	7.6	12.0	Not Retrieved
Income tax expense (benefit)	0.0	1.7	1.4	1.8	-1.4	Not Retrieved
Net income attributable to Disney	2.0	3.1	2.4	5.0	12.4	8.6
Diluted EPS, GAAP (US\$)	Not Retrieved	Not Retrieved	Not Retrieved	2.72	6.85	4.85
Adjusted EPS (US\$, management)	Not Retrieved	Not Retrieved	Not Retrieved	4.97	5.93	Not Retrieved
Stock-based compensation (cash flow)	0.6	1.0	1.1	1.4	1.4	Not Retrieved

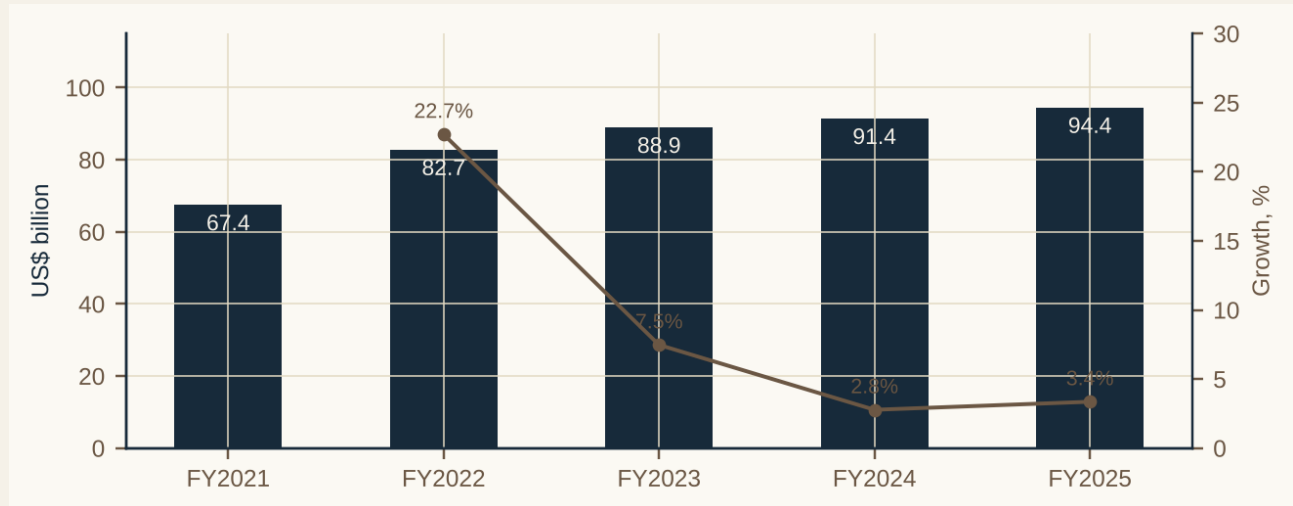
Source: Alpha Vantage statements derived from Disney Form 10-K filings; Disney FY2025 earnings release (EPS); Disney Form 8-K for the third quarter of FY2026. TTM is the sum of the four quarters to 30 June 2026 and is calculated; TTM EBITDA is the provider's figure (US\$20.96bn). Gross profit is revenue less cost of revenue as defined by the provider.

Revenue growth in FY2021 and FY2022 (22.7% and 7.5%) was driven by volume as parks reopened and streaming subscribers grew; growth in FY2023 to FY2025 of 2.8% to 3.4% reflects price and mix: Direct-to-Consumer revenue grew 8 percent in FY2025 on pricing and subscribers, Experiences grew 6 percent on per-capita spending and attendance, and Linear Networks shrank 12 percent. Volume, price and mix splits for each business are Not Retrieved beyond management's third-quarter FY2026 statement of 4 percent guest growth and 4 percent higher domestic per-capita spending. Acquisition and currency effects are small in the period. In the nine months to June 2026 revenue rose 6 percent to US\$76.4bn and in the June 2026 quarter revenue was US\$25.2bn (up 6.8 percent) with segment operating income of US\$5.6bn (up 21 percent), led by Entertainment (up 64 percent to US\$1.68bn) and Experiences (up 20 percent to US\$3.02bn) while Sports fell 17 percent to US\$0.86bn. SOURCED

CALCULATED

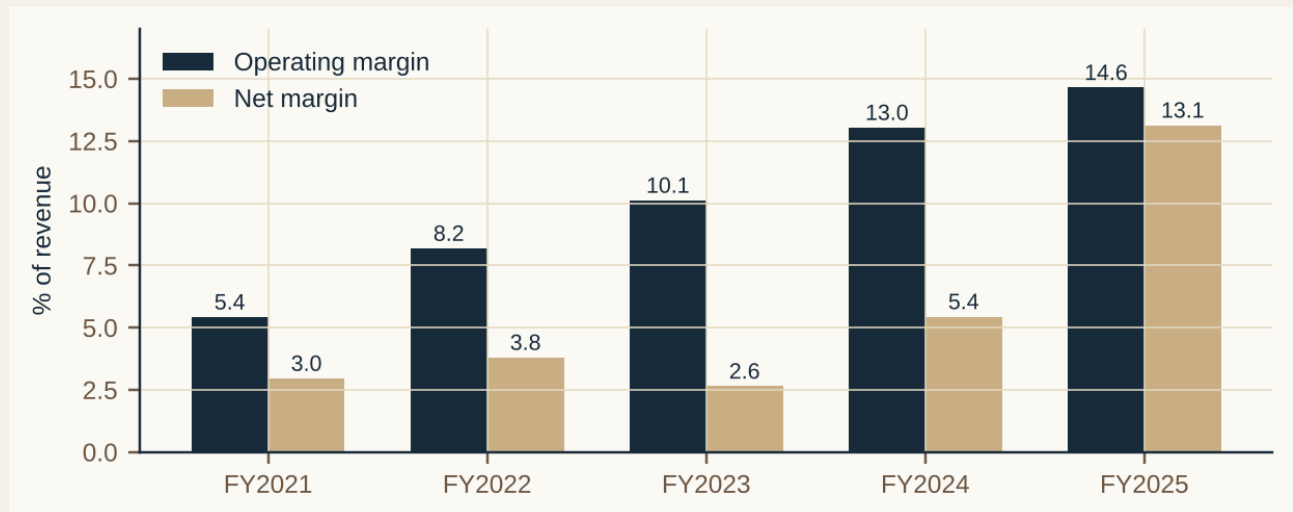
Operating leverage is visible: from FY2021 to FY2025 revenue rose 40 percent while operating income rose 278 percent, because streaming losses shrank, cost programmes were put in place and parks priced above cost inflation. Margins are expanding: operating margin rose from 5.4 percent to 14.6 percent. Net income is the weaker measure: FY2025 GAAP earnings per share of US\$6.85 exceed adjusted earnings per share of US\$5.93 by US\$0.92, because non-operating gains and a tax benefit (a net tax credit of US\$1.4bn) outweighed excluded charges; in the June 2026 quarter the direction reversed (GAAP US\$1.51 against adjusted US\$2.06). Neither the FY2025 gain nor the quarterly charges are the run-rate. Itemised reconciliations were not retrieved. Interest expense rose to US\$1.8bn in FY2025 from US\$1.4bn in FY2024; the trailing figure of US\$1.7bn reflects quarterly expense falling to US\$0.30bn in the June 2026 quarter from US\$0.51bn two quarters earlier. SOURCED REASONED

Revenue and annual growth



Source: Alpha Vantage statements derived from Disney Form 10-K filings. Units: US\$ billion and percent. FY2021 to FY2025.

Operating margin and net margin



Source: Alpha Vantage statements; calculated. Units: percent of revenue. FY2025 net margin includes non-recurring gains and a tax benefit.

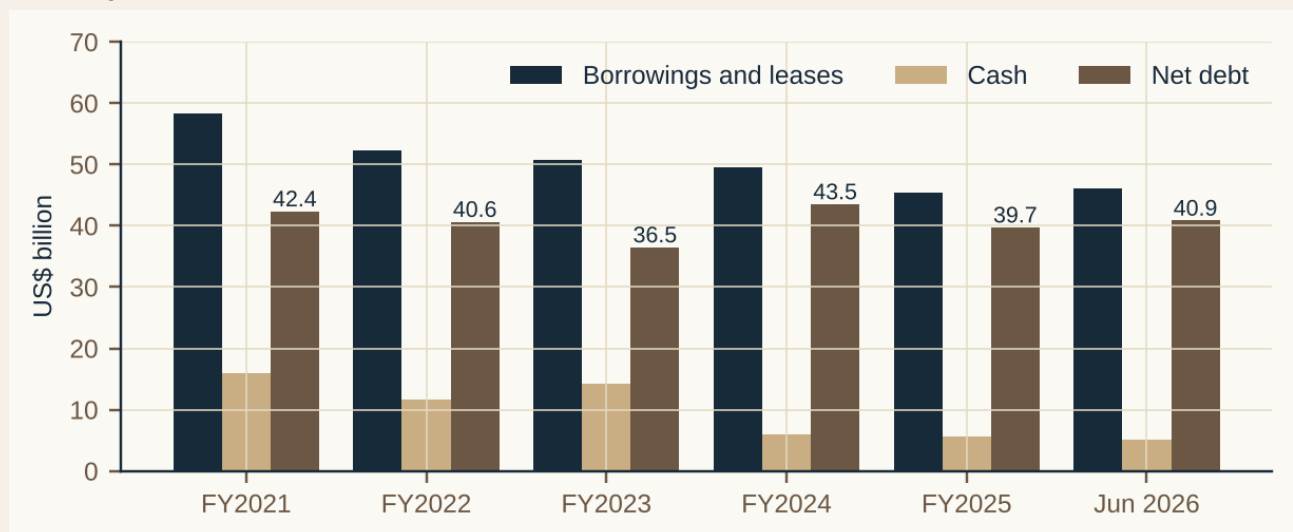
C2. Balance Sheet

BALANCE SHEET SUMMARY, US\$ BILLION, FISCAL YEAR ENDS AND 30 JUNE 2026

Item	FY2021	FY2022	FY2023	FY2024	FY2025	Jun 2026
Cash and equivalents	16.0	11.6	14.2	6.0	5.7	5.2
Receivables	13.4	12.7	12.3	12.7	13.2	14.6
Inventory	1.3	1.7	2.0	2.0	2.1	2.1
Property, plant and equipment	32.6	33.6	34.9	40.7	44.6	Not Retrieved
Goodwill	78.1	77.9	77.1	73.3	73.3	74.7
Intangible assets	17.1	14.8	13.1	10.7	9.3	9.8
Total assets	203.6	203.6	205.6	196.2	197.5	204.7
Borrowings and leases	58.3	52.3	50.7	49.5	45.4	46.0
Total liabilities	101.4	95.3	92.6	90.7	82.9	87.9
Shareholders' equity	88.6	95.0	99.3	100.7	109.9	110.0
Retained earnings	40.4	43.6	46.1	49.7	60.4	65.1
Net debt	42.4	40.6	36.5	43.5	39.7	40.9
Net debt / EBITDA (x)	4.8	3.4	2.5	2.6	2.1	1.9
Current ratio (x)	1.08	1.00	1.05	0.73	0.71	0.71
Equity ratio (equity / assets)	43.5%	46.7%	48.3%	51.3%	55.6%	53.7%

Source: Alpha Vantage balance sheets derived from Disney Form 10-K and Form 10-Q filings; calculated ratios. Borrowings and leases use the provider's total of short-term and long-term debt including lease obligations (the June 2026 figure is the provider's debt total and may not include leases separately). Net debt / EBITDA for June 2026 uses trailing EBITDA of US\$20.96bn. Minority interest and treasury shares: Not Retrieved. Pension obligations are not separately retrieved.

Borrowings, cash and net debt



Source: Alpha Vantage balance sheets; calculated. Units: US\$ billion. Borrowings include lease liabilities. Fiscal year ends and 30 June 2026.

Balance-sheet strength is good and improving: net debt fell from US\$42.4bn (4.8 times EBITDA) in FY2021 to US\$40.9bn (1.9 times) by June 2026 as EBITDA more than doubled, and interest cover on operating income rose from 2.4 times to 7.6 times. The equity ratio of 54 to 56 percent is conservative. Liquidity is thin on the balance-sheet measure: cash of US\$5.2bn and a current ratio of 0.71, down from 1.08 in FY2021, because the company has substituted operating cash flow and revolving facilities for cash balances and returned cash through buybacks; current liabilities include US\$8.6bn of debt falling due within one year. Refinancing is manageable against US\$17bn to US\$18bn of annual operating cash flow, and the debt maturity ladder was Not Retrieved. CALCULATED REASONED

Red flags: goodwill and intangibles of US\$84.5bn equal 41 percent of total assets and 77 percent of equity (June 2026), so a write-down in a declining segment such as Linear Networks is possible and would reduce reported equity without affecting cash; receivables rose to US\$14.6bn in June 2026 from US\$13.2bn at year end, in line with seasonal revenue (51 days of revenue at FY2025); working capital is negative (US\$9.9bn at FY2025) as is normal for a business collecting ticket and subscription revenue in advance of delivery. Off-balance-sheet obligations include sports and content commitments, which management quantifies in the annual report (not retrieved), and guarantees. CALCULATED REASONED

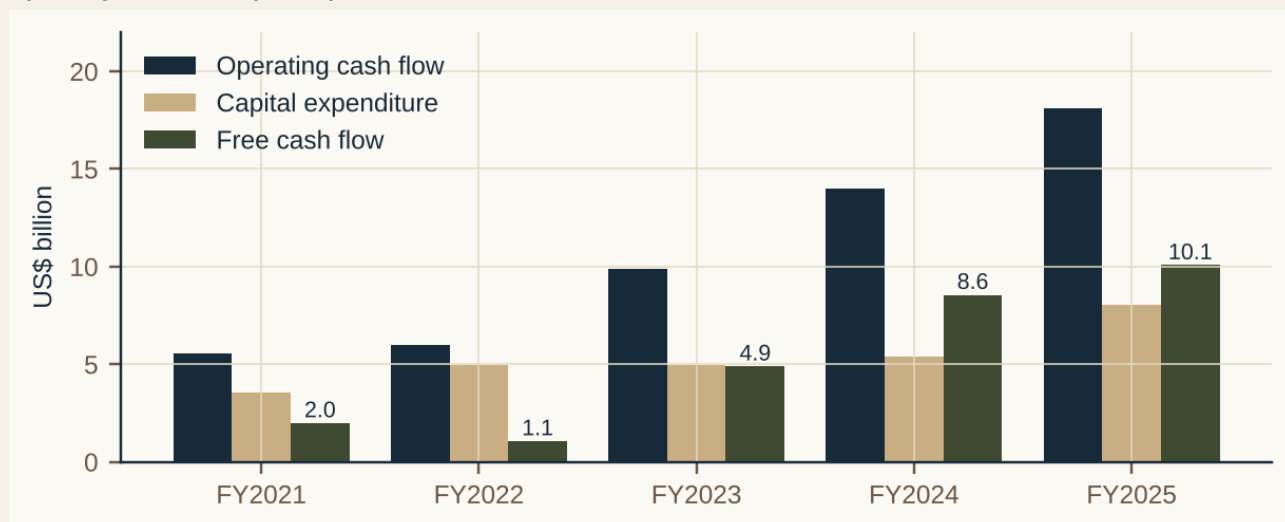
C3. Cash Flow Statement

CASH FLOW SUMMARY, US\$ BILLION

Item	FY2021	FY2022	FY2023	FY2024	FY2025	TTM Jun 2026
Operating cash flow	5.6	6.0	9.9	14.0	18.1	17.0
Capital expenditure	3.6	4.9	5.0	5.4	8.0	8.7
Free cash flow (OCF less capex)	2.0	1.1	4.9	8.6	10.1	8.3
Cash flow from investing	-3.2	-5.0	-4.6	-6.9	-8.0	Not Retrieved
Cash flow from financing	-4.4	-4.7	-2.7	-15.3	-10.4	Not Retrieved
Dividends paid	0.0	0.0	0.0	1.4	1.8	Not Retrieved
Share repurchases	Not Retrieved	Not Retrieved	Not Retrieved	3.0	3.5	Not Retrieved
FCF margin	3.0%	1.3%	5.5%	9.4%	10.7%	8.4%
FCF / net income (x)	1.0	0.3	2.1	1.7	0.8	1.0
Capex / revenue	5.3%	6.0%	5.6%	5.9%	8.5%	8.8%

Source: Alpha Vantage cash flow statements derived from Disney filings; Disney FY2025 earnings release (repurchases FY2024 and FY2025); calculated. Free cash flow equals operating cash flow less capital expenditure. In the nine months to June 2026 the company reports operating cash flow of US\$12.5bn (US\$13.6bn a year earlier), capital expenditure of US\$6.8bn (US\$6.1bn), free cash flow of US\$5.7bn (US\$7.5bn), share repurchases of US\$7.2bn and dividends of US\$1.3bn.

Operating cash flow, capital expenditure and free cash flow



Source: Alpha Vantage cash flow statements; calculated. Units: US\$ billion. FY2021 to FY2025.

Free cash flow has risen five-fold since FY2021, from US\$2.0bn to US\$10.1bn in FY2025, supported by earnings recovery and working-capital inflows; in FY2025 operating cash flow of US\$18.1bn was 1.5 times net income of US\$12.4bn, even though net income was inflated by non-cash gains. The more relevant measure is that free cash flow of US\$10.1bn compares with adjusted net income of about US\$10.7bn (adjusted EPS of US\$5.93 on about 1.8 billion shares), a conversion of roughly 0.9 times. In the latest period conversion is weakening: the trailing free cash flow of US\$8.3bn is below FY2025 because capital expenditure rose to 8.8 percent of revenue and the first quarter of FY2026 produced only US\$0.7bn of operating cash flow. Capex is split between maintenance (around the level of depreciation of US\$5.3bn) and growth (parks, cruise ships and the

technology platform), which implies roughly US\$3 to US\$4bn of growth investment a year. Net income and cash generation diverge where non-cash gains inflated GAAP earnings (FY2025) and where timing of content spend affects operating cash flow (FY2022, when free cash flow was only 0.3 times net income). Reported earnings are supported by cash: three years of free cash flow above US\$4.9bn and rising. CALCULATED REASONED

C4. Forecasting and Projections

The projections below are analyst estimates built on management guidance and are not forecasts of the share price. Base-case revenue growth of 6.3 percent in FY2026 (including a 53rd week in the fourth quarter) and 4.5 percent a year thereafter reflects the 6 percent nine-month growth rate, price increases in parks and streaming, and a continuing decline in Linear Networks. Segment drivers: Experiences growing revenue 6 to 8 percent on capacity additions (cruise capacity up 50 percent) and per-capita growth; Entertainment direct-to-consumer growing 7 to 8 percent; Sports flat to low single digit; Linear Networks declining 10 to 12 percent. Market share evolution is Not Retrieved. REASONED

BASE CASE PROJECTIONS, US\$ BILLION UNLESS STATED (ANALYST ESTIMATES)

Item	FY2025 actual	FY2026E	FY2027E	FY2028E
Revenue	94.4	100.4	104.9	109.6
Revenue growth	3.4%	6.3%	4.5%	4.5%
Segment operating income	17.6	18.9	20.4	21.9
Adjusted EPS (US\$)	5.93	6.88	7.30	7.96
Capital expenditure	8.0	9.0	8.5	8.0
Capex / revenue	8.5%	9.0%	8.1%	7.3%
Free cash flow (levered)	10.1	8.8	9.9	10.9
Share repurchases	3.5	9.0	7.0	7.0

Source: analyst estimates (Reasoned) anchored on Disney guidance in the third-quarter FY2026 release: adjusted EPS growth of about 16 percent including the 53rd week (12 percent excluding), double-digit growth in FY2027 excluding the 53rd week, buybacks of at least US\$9bn, content spending of about US\$24bn and capex of about US\$9bn, fourth-quarter segment operating income of about US\$4.9bn. FY2027 and FY2028 are analyst extrapolations: EPS +10% on the FY2026 base excluding the extra week, then +9%.

Margins: gross margin has risen from 33.4 percent (FY2023) to 37.8 percent (FY2025); the base case assumes a further 1 to 2 points of reported operating margin expansion by FY2028 from streaming scale (direct-to-consumer margin 12.9 percent in the June 2026 quarter) and parks mix, with SG&A held near 17 percent of revenue. Research and development is not separately reported. Working capital is assumed neutral and capex intensity declines from 9.0 percent to 7.3 percent of revenue as the cruise and park programmes complete. REASONED

SCENARIO ANALYSIS, FIVE-YEAR VIEW TO FY2031 (ANALYST ESTIMATES)

Driver	Bear	Base	Bull
Revenue growth	2 to 3% a year	4 to 5% a year	6 to 7% a year
Operating margin trend	Falls 1 to 2 points	Rises 1 to 2 points	Rises 3 points
FCFF growth, years 1 to 5	3% a year	10% easing to 5%	14% easing to 6%
WACC and terminal growth	9.5% and 2.0%	9.0% and 2.5%	8.5% and 3.0%
Value per share	about US\$56	about US\$95	about US\$136
Versus US\$102.19	-45%	-7%	+33%

Source: analyst DCF (section C5). Calculated from the model; values exclude noncontrolling interests. Scenario values are model outputs under stated assumptions, not predictions of the share price.

Sensitivity analysis

The value is most sensitive to the discount rate and terminal growth because the terminal value is 75 percent of base-case enterprise value. Each 0.5 point change in WACC moves value by US\$8 to US\$12 per share; each 0.5 point change in terminal growth moves it by US\$5 to US\$9 per share. Each 1 point change in operating margin, about US\$1.0bn of operating income on US\$100bn of revenue, changes free cash flow by roughly 8 percent and the base-case value by about US\$9 to US\$10 per share. Each 2 points of annual cash flow growth over five years is worth about US\$8 to US\$10 per share at a 9 percent discount rate. **CALCULATED**

C5. Discounted Cash Flow (DCF) Model

DCF ASSUMPTIONS AND BASE-CASE OUTPUT

Assumption	Value and basis
Revenue and growth	FY2026E US\$100.4bn (+6.3%), then 4.5% a year; margin path as in section C4
Free cash flow to the firm, FY2026E	US\$10.2bn: levered free cash flow US\$8.8bn plus after-tax interest of about US\$1.4bn
FCFF growth, FY2027 to FY2031	10%, 9%, 8%, 6%, 5%
Tax assumption	21% on operating profit (reported tax rate is distorted by FY2025 benefits)
Capex and working capital	Capex 9.0% of revenue easing to about 7%, above depreciation of US\$5.3bn; working capital neutral
WACC	9.0%: risk-free 4.99% (10-year Treasury, September 2026), beta 1.2, equity risk premium 4.5% (assumed), cost of equity 10.4%, pre-tax cost of debt 5.5% (assumed), 79% equity and 21% debt weights
Terminal growth	2.5%
Terminal value	US\$231.8bn at FY2031 (15.8 times FY2031 FCFF); present value US\$153.9bn, or 75% of enterprise value
Enterprise value	US\$205.3bn (present value of explicit cash flows US\$51.4bn plus terminal value)
Net debt	US\$40.9bn (June 2026, including leases)
Equity value and shares	US\$164.4bn on 1,726.7 million shares
Value per share, base case	US\$95; plausible range US\$79 to US\$112

Source: analyst model (Reasoned and Calculated). Valuation date 4 October 2026; cash flows discounted from the middle of each fiscal year. Risk-free rate from the Alpha Vantage Treasury yield series. Noncontrolling interests (for example in ESPN and Hulu Live) are Not Retrieved and are excluded, which overstates value per share modestly.

BASE-CASE FREE CASH FLOW TO THE FIRM, US\$ BILLION

Item	FY2027E	FY2028E	FY2029E	FY2030E	FY2031E
FCFF	11.2	12.2	13.2	14.0	14.7
Discount factor at 9%	0.937	0.860	0.789	0.724	0.664
Present value	10.5	10.5	10.4	10.1	9.8

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, US\$

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
8.0%	99	107	117	129	143
8.5%	90	97	105	115	126
9.0%	83	88	95	103	112
9.5%	76	81	87	93	101
10.0%	70	74	79	85	92

SENSITIVITY: ANNUAL FCFF GROWTH FOR FIVE YEARS (ROWS) AGAINST WACC (COLUMNS), VALUE PER SHARE, US\$

FCFF growth	WACC 8%	WACC 9%	WACC 10%
3%	91	74	61
5%	102	82	68
7%	113	92	76
9%	125	102	85
11%	138	112	94

Source: analyst model; terminal growth 2.5 percent in the second table. Calculated. The model result is a range, not a point estimate of intrinsic value: the current price lies between the 9.0 percent and 8.5 percent WACC rows of the first table at 2.5 percent terminal growth.

C6. Leveraged Buyout (LBO) Model

An LBO analysis is not applicable. At an enterprise value of US\$217bn, a take-private would be among the largest ever attempted and would require equity of well over US\$100bn at conventional leverage of five to six times EBITDA (US\$105bn to US\$126bn of debt against EBITDA of US\$21bn), which exceeds the capacity of any private equity consortium; the stock is also widely held with 78.5 percent institutional ownership. REASONED

D. Investment Thesis

Bull Case

The bull case requires three things to happen together. Revenue grows 6 to 7 percent a year as cruise capacity and park expansions fill and streaming prices keep rising; reported operating margin rises about 3 points from 16 percent toward 19 percent as streaming reaches the mid-teens margin implied by the 12.9 percent June 2026 quarter and Sports stabilizes; and capital expenditure falls toward 7 percent of revenue, releasing free cash flow for buybacks of US\$7bn to US\$9bn a year. Under these assumptions free cash flow to the firm grows 14 percent easing to 6 percent and, at a discount rate of 8.5 percent, the model value is about US\$136 per share, 33 percent above the current price. Multiple expansion toward the 13 times EBITDA of recent fiscal year ends would add to this. Market share gains in streaming and an accelerating industry are not required.

[CALCULATED](#) [REASONED](#)

Bear Case

The bear case assumes revenue growth slows to 2 to 3 percent as a consumer downturn cuts park attendance and per-capita spending while new capacity opens into weaker demand; operating margin falls 1 to 2 points as fixed costs deleverage and sports rights inflation continues; linear income declines faster than streaming profit grows; and capex stays near US\$9bn because projects are committed. Free cash flow growth stalls at about 3 percent and, with leverage creeping toward 2.5 times EBITDA and a 9.5 percent discount rate, the model value is about US\$56 per share, 45 percent below the current price. A goodwill impairment on linear assets could add a reported loss without a cash effect. The five-year maximum drawdown of 55 percent shows that a decline of this magnitude is within the stock's own history. [CALCULATED](#) [REASONED](#)

Base Case

The base case assumes revenue growth of 6.3 percent in FY2026 (including the extra week) and 4 to 5 percent afterwards, adjusted earnings per share of US\$6.88 in FY2026 and roughly US\$7.30 to US\$8.00 in FY2027 and FY2028, reported operating margin rising 1 to 2 points, capex easing from US\$9bn, and buybacks of US\$7bn to US\$9bn a year. Free cash flow to the firm grows 10 percent easing to 5 percent. The model value is about US\$95, with a sensible range of US\$79 to US\$112, so the current price of US\$102.19 sits in the upper-middle of the range: the stock is neither clearly cheap nor clearly expensive on this analysis. [CALCULATED](#) [REASONED](#)

Catalysts

POTENTIAL CATALYSTS

Catalyst	Timing	Potential effect
Fourth-quarter and full-year FY2026 results	Expected November 2026 (date not confirmed)	First guidance for FY2027; confirms or revises the 12% EPS growth target and capex plan
Completion of buyback target	Through September 2026 and FY2027	At least US\$9bn of FY2026 repurchases, about 5% of market capitalization
A+E Networks stake sale	Per management, proceeds about US\$1.2bn	Funds buybacks and exits a declining linear asset
Leadership transition	Robert Iger retires 31 December 2026	Completes handover; clarity on the new chief executive's strategy
Streaming profitability	Quarterly	Direct-to-consumer margin continuing above 10%; possible free ad-supported tier
Sports and ESPN direct-to-consumer	Quarterly	Stabilization of Sports operating income after the 17% decline in the June 2026 quarter
Cruise and park capacity	Ongoing	Cruise capacity up 50% after Destiny and Adventure; returns on US\$9bn of annual capex
Film slate	Through 2027	Box office performance after recent underperformance of two releases

Source: Disney third-quarter FY2026 release and call (5 August 2026); analyst timing estimates are Reasoned.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Experiences operating income growth	57% of segment income	High single digit or better	Below 3% or margin below 26%
Direct-to-consumer operating margin	Streaming profitability	Above 10% sustained	Below 8%
Sports operating income	Rights cost versus pricing	Return to growth	Further declines of more than 10%
Free cash flow and capex	Returns on growth investment	FCF above US\$9bn, capex under 8% of revenue	FCF below US\$7bn with capex near 9%
Net debt / EBITDA	Balance-sheet capacity	Below 1.8x	Above 2.5x
Linear Networks revenue	Rate of decline	Decline slower than 10%	Decline faster than 15%
Park attendance and per-capita spend	Demand health	Guest growth of 3% to 4%	Negative guest growth
Adjusted EPS guidance	Management credibility	FY2027 double-digit growth reaffirmed	Guidance cut

E. Final Investment Framework

BUSINESS QUALITY	Good. Experiences earned a 27.6% segment margin on US\$36.2bn of revenue and consumer products 47.3%; the whole company converts 10.7% of revenue to free cash flow.
FINANCIAL QUALITY	Good and improving. Operating margin of 14.6% in FY2025 (16.0% trailing), net debt 1.9x EBITDA, but FY2025 net income was inflated by one-off items and free cash flow dipped in the latest nine months.
COMPETITIVE POSITION	Strong. Irreplaceable intellectual property and physical assets support the moat in parks and franchises; linear and sports economics are weakening.
MANAGEMENT	Adequate to good. A Disney insider with a record in the most profitable segment, an experienced CFO, accurate guidance (FY2025 adjusted EPS +19% against double-digit guidance) and a shift toward buybacks; the capex return is unproven.
INDUSTRY	Structurally transforming. Linear decline and sports rights inflation against streaming scale and resilient experiences demand.
VALUATION	Fair. 10.4x EV/EBITDA is below recent fiscal year ends and Netflix; DCF base value of about US\$95 within a US\$79 to US\$112 range; price implies about 9% annual FCFF growth.
TECHNICAL AND MARKET STRUCTURE	Neutral to weak. Below the 20-day and 50-day averages, RSI 42, negative MACD, underperformance of 21.7 points against the benchmark this year.
PRINCIPAL RISK	A consumer downturn hitting Experiences while new capacity opens.
PRINCIPAL CATALYST	FY2027 guidance with the fourth-quarter FY2026 results, confirming double-digit earnings growth and easing capex.
KEY VARIABLE	Experiences segment operating income, which supplies 57% of segment income and funds the capital programme.
THESIS INVALIDATION	The investment thesis would become materially weaker if Experiences operating income growth falls below 3 percent on a trailing basis, if trailing free cash flow falls below US\$7bn, if net debt rises above 2.5 times EBITDA, or if direct-to-consumer operating margin falls below 8 percent.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market cap	US\$176.5bn	US\$205.5bn	Down from US\$321.7bn (2021)
Market	Enterprise value	US\$217.3bn	US\$245.2bn	Down
Market	Share price	US\$102.19	US\$113.47	5Y -40.1%, 3Y +30.1%
Growth	Revenue growth	6% (9 months)	3.4% (FY2025)	4Y CAGR 8.8%
Profitability	Gross margin	37.6% (TTM)	37.8%	Rising from 33.1%
Profitability	Operating margin	16.0% (TTM)	14.6%	Rising from 5.4%
Profitability	Net margin	8.7% (TTM)	13.1%	Distorted by one-offs
Profitability	ROE	8.0% (provider)	11.8%	Rising from 2.1%
Profitability	ROIC	8.3% (TTM)	7.3%	Rising from 2.2%
Cash flow	Operating cash flow	US\$17.0bn (TTM)	US\$18.1bn	Rising from US\$5.6bn
Cash flow	Free cash flow	US\$8.3bn (TTM)	US\$10.1bn	Rising from US\$2.0bn
Leverage	Net debt / EBITDA	1.9x	2.1x	Falling from 4.8x
Valuation	P/E (GAAP)	21.1x	16.6x	Falling from 161x
Valuation	EV/EBITDA	10.4x	12.8x	Falling from 41.5x
Valuation	P/FCF	21.3x	20.4x	Stable to higher
Market	Beta	1.20 (1Y weekly)	1.41 (provider, 5Y)	Stable
Market	Volatility	23.5% (1Y)	27.3% (3Y)	Easing
Market	Maximum drawdown	-20.2% (1Y)	-31.1% (3Y)	-55.1% (5Y)

Prior year values are at the FY2025 year end (26 September 2025 for prices and valuation, fiscal year 2025 for operating metrics). TTM is trailing twelve months to 30 June 2026. Source: Alpha Vantage, Disney filings; calculated.

G. Sources and Methodology

Primary Sources

The Walt Disney Company (SEC), Annual report on Form 10-K for the fiscal year ended 27 September 2025. Filed November 2025. <https://www.sec.gov/Archives/edgar/data/1744489/000174448925000155/dis-20250927.htm>. Information obtained: Business description, employees (about 231,000), shares outstanding (1,785m at 5 November 2025), Fubo and NFL Network transactions

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Secondary Sources

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The Motley Fool, Disney third quarter 2026 earnings call transcript. Call held 5 August 2026. <https://www.fool.com/earnings/call-transcripts/2026/08/12/disney-dis-q3-2026-earnings-call-transcript/>. Information obtained: Management commentary on streaming margin, parks demand, Sports, buyback target, A+E proceeds, strategy

Market Data

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StockAnalysis, The Walt Disney Company (DIS) statistics. Accessed 4 October 2026. <https://stockanalysis.com/stocks/dis/statistics/>. Information obtained: Cross-check of market capitalization, enterprise value, EV/EBITDA, P/FCF, net debt and beta

Calculations

All ratios, returns, volatility, drawdown, technical indicators, historical multiples, scenario values and the discounted cash flow were calculated by the analyst from the sources above. Definitions: EBITDA is operating income plus depreciation and amortization; free cash flow is operating cash flow less capital expenditure; net debt is borrowings plus lease liabilities less cash; returns are weekly adjusted close changes including dividends; volatility is the standard deviation of weekly log returns multiplied by the square root of 52; beta is the covariance of weekly returns with SPY divided by the variance of SPY; RSI, MACD and ATR use standard 14, 12-26-9 and 14-day settings on daily data. Data cross-check: market capitalization, enterprise value, net debt, EV/EBITDA and P/FCF agree across two providers within 0.5 percent; the provider operating margin and printed Netflix EV/EBITDA were inconsistent with underlying statements and were recomputed as noted. Items marked Not Retrieved were not available from the sources reviewed.

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